CLOSING STATEMENT

Hollis Marlow Collegiate Commons | Raleigh, NC

Property	Hollis Marlow Collegiate Commons
Settlement Date	March 25, 2018
Buyer	Cascadia Rock Capital
Seller	Northvale Development Co.
Sale Price	$50,920,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$50,920,000			
Earnest money deposit		$118,239	$118,239	
Real estate tax proration	$121,682			$121,682
Rent proration			$387,242	
Security deposits assumed	$308,068	$308,068		
Prepaid rents			$241,451	$241,451
Owner's title policy premium	$202,143			
Lender's title policy premium		$52,363	$52,363	
Escrow fee	$250,682			$250,682
Recording fees			$151,691	
Transfer tax	$289,235	$289,235		
Survey			$457,512	$457,512
Legal fees - Buyer	$39,520			
Legal fees - Seller		$333,718	$333,718	
Broker commission	$182,039			$182,039
Loan origination fee			$413,500	
Lender legal	$239,120	$239,120		
Appraisal fee			$29,178	$29,178
Environmental report	$342,804			
Property condition report		$85,621	$85,621	
Tax escrow deposit	$241,196			$241,196
Insurance escrow deposit			$382,937	
Replacement reserve deposit	$417,900	$417,900		
Utility deposits			$314,922	$314,922
Assumed vendor contracts credit	$76,302			

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$50,920,000			
Legal fees - Seller		$83,733	$83,733	
Broker commission	$247,612			$247,612
Loan origination fee			$15,364	
Lender legal	$387,673	$387,673		
Appraisal fee			$421,665	$421,665
Environmental report	$463,574			
Property condition report		$466,908	$466,908	
Tax escrow deposit	$178,257			$178,257
Insurance escrow deposit			$164,758	
Replacement reserve deposit	$245,614	$245,614		
Utility deposits			$234,535	$234,535
Assumed vendor contracts credit	$411,267			
Tenant improvement credit		$338,698	$338,698	
Courier / wire fees	$66,448			$66,448
Municipal certificates			$203,233	
Purchase price	$44,676	$44,676		
Earnest money deposit			$85,203	$85,203
Real estate tax proration	$426,003			
Rent proration		$378,824	$378,824	
Security deposits assumed	$90,564			$90,564
Prepaid rents			$405,279	
Owner's title policy premium	$72,389	$72,389		
Lender's title policy premium			$26,716	$26,716
Escrow fee	$321,806			
Recording fees		$193,804	$193,804	
Transfer tax	$376,805			$376,805
Survey			$481,405	

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Valuation Discussion

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $206,000 or approximately 6.74 per square foot, with real estate taxes representing the largest line item. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.09% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.58x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Operating expenses totaled $117,000 or approximately 16.77 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $104,000 or approximately 31.48 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 92.1% with rental rates per bed averaging $1,332. The going-in capitalization rate of 6.35% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Pre-leasing for the coming academic year stands at 89.8% with rental rates per bed averaging $1,332. Operating expenses totaled $265,000 or approximately 24.63 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.05x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Operating Performance

Debt service coverage ratio was 7.06x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $118,000 or approximately 30.15 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $469,000, representing a 10.5% increase over the prior year. The going-in capitalization rate of 5.94% reflects the in-place income and the stabilized occupancy assumption.

The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 7.20x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $89,000, representing a 8.2% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$50,920,000			
Tenant improvement credit		$133,902	$133,902	
Courier / wire fees	$102,277			$102,277
Municipal certificates			$27,681	
Purchase price	$497,329	$497,329		
Earnest money deposit			$199,243	$199,243
Real estate tax proration	$179,477			
Rent proration		$233,214	$233,214	
Security deposits assumed	$329,822			$329,822
Prepaid rents			$18,882	
Owner's title policy premium	$201,025	$201,025		
Lender's title policy premium			$389,876	$389,876
Escrow fee	$160,569			
Recording fees		$358,739	$358,739	
Transfer tax	$157,500			$157,500
Survey			$88,470	
Legal fees - Buyer	$401,244	$401,244		
Legal fees - Seller			$316,237	$316,237
Broker commission	$145,195			
Loan origination fee		$369,901	$369,901	
Lender legal	$397,460			$397,460
Appraisal fee			$344,215	
Environmental report	$351,171	$351,171		
Property condition report			$69,272	$69,272
Tax escrow deposit	$89,509			
Insurance escrow deposit		$359,537	$359,537	
Replacement reserve deposit	$198,785			$198,785
Utility deposits			$54,691	

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Financial Analysis

Operating expenses totaled $367,000 or approximately 47.59 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 88.3% with rental rates per bed averaging $1,332. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses.

The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.27% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

Operating expenses totaled $348,000 or approximately 9.00 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $370,000, representing a 10.2% increase over the prior year. Debt service coverage ratio was 5.90x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Pre-leasing for the coming academic year stands at 96.3% with rental rates per bed averaging $1,332. Debt service coverage ratio was 6.26x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Operating expenses totaled $421,000 or approximately 9.66 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.40% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.27x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 5.17% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Pre-leasing for the coming academic year stands at 89.0% with rental rates per bed averaging $1,332. The going-in capitalization rate of 5.11% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $213,000, representing a 6.4% increase over the prior year. Operating expenses totaled $365,000 or approximately 23.57 per square foot, with real estate taxes representing the largest line item.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$50,920,000			
Recording fees		$345,277	$345,277	
Transfer tax	$71,396			$71,396
Survey			$339,119	
Legal fees - Buyer	$259,690	$259,690		
Legal fees - Seller			$331,658	$331,658
Broker commission	$431,938			
Loan origination fee		$13,248	$13,248	
Lender legal	$268,336			$268,336
Appraisal fee			$444,251	
Environmental report	$72,900	$72,900		
Property condition report			$326,539	$326,539
Tax escrow deposit	$300,482			
Insurance escrow deposit		$67,019	$67,019	
Replacement reserve deposit	$19,273			$19,273
Utility deposits			$104,207	
Assumed vendor contracts credit	$250,339	$250,339		
Tenant improvement credit			$424,508	$424,508
Courier / wire fees	$207,344			
Municipal certificates		$29,663	$29,663	
Purchase price	$497,177			$497,177
Earnest money deposit			$483,701	
Real estate tax proration	$450,034	$450,034		
Rent proration			$302,062	$302,062
Security deposits assumed	$481,908			
Prepaid rents		$300,948	$300,948	
Owner's title policy premium	$405,807			$405,807
Lender's title policy premium			$155,736	

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Operating Performance

Operating expenses totaled $444,000 or approximately 11.51 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The going-in capitalization rate of 5.34% reflects the in-place income and the stabilized occupancy assumption.

The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Effective gross income for the trailing period was $257,000, representing a 13.8% increase over the prior year. Pre-leasing for the coming academic year stands at 93.9% with rental rates per bed averaging $1,332. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.50% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.32% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.22x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The going-in capitalization rate of 7.29% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 96.4% with rental rates per bed averaging $1,332. Debt service coverage ratio was 6.82x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $425,000 or approximately 9.90 per square foot, with real estate taxes representing the largest line item.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Hollis Marlow Collegiate Commons Owner LLC

By: James Zimmerman Title: Manager Date: 03/25/2018

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Julia Ito

By: Michael Underwood Title: Manager Date: 03/25/2018

Exhibit A - Property

Hollis Marlow Collegiate Commons, 4820 Meadow Court, Raleigh, NC 34841. Parcel containing approximately 30.50 acres, together with all improvements thereon.

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